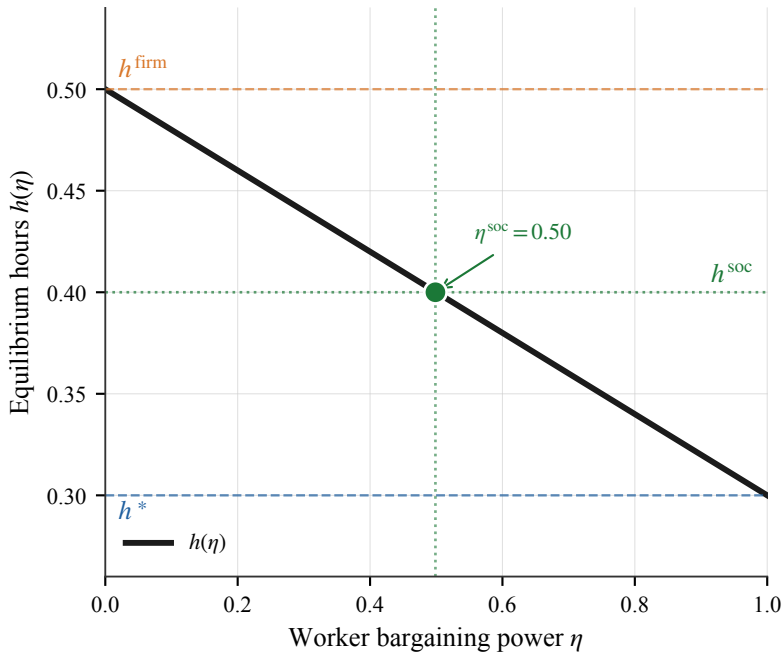
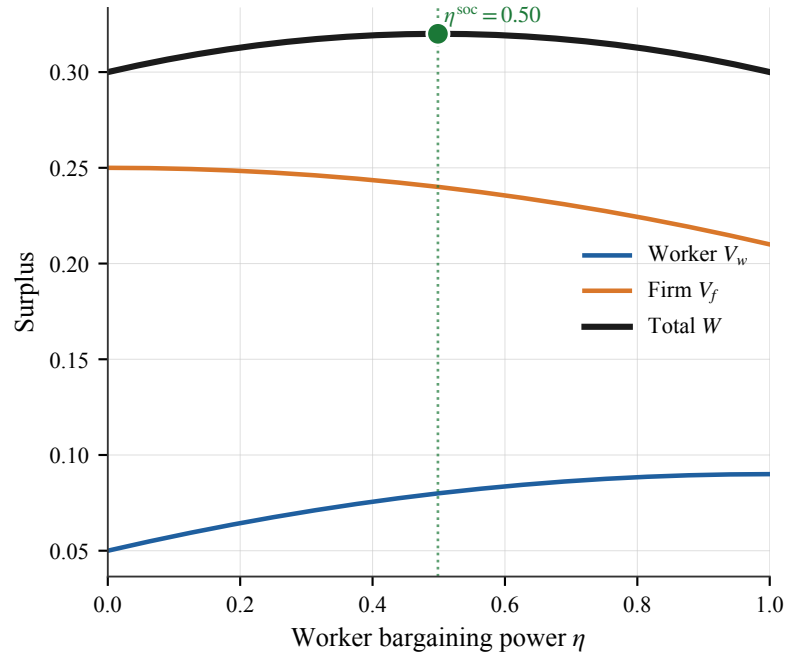


(a) $h(\eta)$ runs from h^{firm} to h^*



(b) $W(\eta)$ single-peaked at η^{soc}



(c) Welfare gain vs no-union baseline

